

STATE OF NEW YORK

1778--B

2025-2026 Regular Sessions

IN ASSEMBLY

January 14, 2025

Introduced by M. of A. RAJKUMAR -- read once and referred to the Committee on Governmental Employees -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee -- again reported from said committee with amendments, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the administrative code of the city of New York, in relation to granting members of the city's police force eligibility for retirement and pension based on previous service as traffic enforcement agents

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. The administrative code of the city of New York is amended
2 by adding a new section 13-633 to read as follows:

3 § 13-633 Transfer of members of the New York city police department
4 from traffic enforcement to the police force. a. The time served as a
5 member of the city's traffic enforcement who has become a member of the
6 uniformed force of the police department of the city, whether by trans-
7 fer or as a result of a competitive examination and appointment, and who
8 is still a member of the uniformed force of the police department of the
9 city, shall be included and counted as police service as defined in
10 section 13-214 of this title in determining retirement and pension bene-
11 fits as provided in this code and the retirement and social security law
12 if such person becomes a member of a state or city retirement system
13 available to members of the police department of the city, provided,
14 however, that no person becoming a member of the uniformed force of the
15 police department of the city in the manner herein provided, shall be
16 entitled to participate in the benefits of a state or city retirement
17 system available to members of the police department of the city, unless
18 such person shall pay into such fund the total sum that such person
19 would have been required to pay in order to participate therein had such
20 person been a member of such force from the time they entered the

EXPLANATION--Matter in italics (underscored) is new; matter in brackets
[-] is old law to be omitted.

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service of traffic enforcement. These provisions shall not be subject to any restriction relative to transfers contained in the civil service law or in the rules and regulations of the civil service commission of the state, or any subdivision thereof.

b. Notwithstanding any other provisions of law, a member of the New York city police department shall be entitled to buy back and receive service credit for the period of time such member was previously employed as a New York city traffic enforcement agent pursuant to subdivision a of this section.

§ 2. This act shall take effect immediately.

FISCAL NOTE.--Pursuant to Legislative Law, Section 50:

SUMMARY: This proposed legislation would deem certain prior service rendered as a traffic enforcement agent with the New York City Police Department, that was purchased or transferred into the New York City Police Pension Fund (POLICE), as uniformed service for purposes of determining the eligibility and amount of POLICE retirement benefits.

EXPECTED INCREASE (DECREASE) IN EMPLOYER CONTRIBUTIONS
by Fiscal Year for the first 25 years (\$ in Millions)

Year	NYC
2026	11.3
2027	11.2
2028	11.4
2029	11.6
2030	11.8
2031	12.1
2032	12.3
2033	12.6
2034	13.1
2035	13.6
2036	14.0
2037	14.3
2038	3.7
2039	4.1
2040	4.6
2041	4.9
2042	5.3
2043	5.8
2044	6.3
2045	6.7
2046	7.2
2047	7.8
2048	8.4
2049	9.1
2050	9.8

Projected contributions include future new hires that may be impacted. For Fiscal Year 2051 and beyond, the expected increase in normal cost as a level percent of pay for impacted new entrants is approximately 1.62% for each year of traffic enforcement service transferred.

The entire increase in employer contributions will be allocated to New York City.

PRESENT VALUE OF BENEFITS: The Present Value of Benefits is the discounted expected value of benefits paid to current members if all

assumptions are met, including future service accrual and pay increases. Future new hires are not included in this present value.

INITIAL INCREASE (DECREASE) IN ACTUARIAL PRESENT VALUES
as of June 30, 2024 (\$ in Millions)

Present Value (PV)	NYC
(1) PV of Employer Contributions:	65.0
(2) PV of Employee Contributions:	(1.0)
Total PV of Benefits (1) + (2):	64.0

UNFUNDED ACCRUED LIABILITY (UAL): Actuarial Accrued Liabilities are the portion of the Present Value of Benefits allocated to past service. Changes in UAL were amortized over the expected remaining working life-time of those impacted using level dollar payments.

AMORTIZATION OF UNFUNDED ACCRUED LIABILITY

	NYC
Increase (Decrease) in UAL:	84.5 M
Number of Payments:	12
Amortization Payment:	11.0 M

CENSUS DATA: The estimates presented herein are based on preliminary census data collected as of June 30, 2024 and was supplemented with data previously provided by the New York City Police Department and the Police Benevolent Association. The census data for the impacted population is summarized below.

	POLICE
Active Members	
- Number Count:	847
- Average Age:	38.0
- Average Service:	11.1
- Average Traffic Enforcement Service:	3.3
- Average Salary:	119,400

IMPACT ON MEMBER BENEFITS: Currently, Tier 2 members of POLICE receive a benefit based on 75% of 1/60th times the member's average earnings over their last five years of service for each year of non-uniformed civilian service, such as prior traffic enforcement agent service. Tier 3 members generally receive no additional benefit for non-uniformed civilian service.

Under the proposed legislation, periods of qualifying prior non-uniformed service rendered as a traffic enforcement agent, that are purchased or transferred, would be classified as Allowable Service in the police force and therefore be included in the minimum service required for eligibility and payment of an unreduced service retirement benefit for all tiers.

ASSUMPTIONS AND METHODS: The estimates presented herein have been calculated based on the Revised 2021 Actuarial Assumptions and Methods of the impacted retirement systems. In addition:

* New entrants were assumed to replace exiting members so that total payroll increases by 3% each year for impacted groups. New entrant demo-

graphics were developed based on data for recent new hires and actuarial judgement.

* Each year, 2.5% of new entrants are assumed to purchase an average of 3.0 years of prior service. For the purposes of this Fiscal Note, new entrant costs have been shown assuming that the entirety of the cost would be funded via normal cost.

To determine the impact of the elective nature of the proposed legislation, a subgroup of eligible members was developed based on who is assumed to benefit actuarially by comparing the net present value impact of future employer costs of each member's benefit before and after the transfer or purchase of traffic enforcement agent service.

RISK AND UNCERTAINTY: The costs presented in this Fiscal Note depend highly on the actuarial assumptions, methods, and models used, demographics of the impacted population, and other factors such as investment, contribution, and other risks. If actual experience deviates from actuarial assumptions, the actual costs could differ from those presented herein. Quantifying these risks is beyond the scope of this Fiscal Note.

This Fiscal Note is intended to measure pension-related impacts and does not include other potential costs (e.g., administrative and Other Postemployment Benefits). This Fiscal Note does not reflect any chapter laws that may have been enacted during the current legislative session.

STATEMENT OF ACTUARIAL OPINION: Marek Tyszkiewicz and Gregory Zelikovsky are members of the Society of Actuaries and the American Academy of Actuaries. We are members of NYCERS, but do not believe it impairs our objectivity, and we meet the Qualification Standards of the American Academy of Actuaries to render the actuarial opinion contained herein. To the best of our knowledge, the results contained herein have been prepared in accordance with generally accepted actuarial principles and procedures and with the Actuarial Standards of Practice issued by the Actuarial Standards Board.

FISCAL NOTE IDENTIFICATION: This Fiscal Note 2025-34 dated March 27, 2025 was prepared by the Chief Actuary for the New York City Retirement Systems and Pension Funds and is intended for use only during the 2025 Legislative Session.